



Payment Schedule Process Microsoft Dynamics 365 F&O



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What is Payment Schedule?

A payment schedule in Microsoft Dynamics 365 F&O is a process of how an invoice will be paid in Installments over time. In simple, the single invoice will be divided into multiple invoices based on the agreed schedules/installments. It can be used for both customer and vendor invoices.

Payment schedule process includes creation of payment schedule and apply it on the customer/vendor invoices.

1. Payment Schedule Creation:

Navigation: Accounts Payable/Receivable → Payment setup → Payment Schedules.

As per the Microsoft standard there are 4 allocation methods available in the system – **Total**, **Fixed amount**, **Fixed quantity** and **Specified**.

This document will cover the most used allocation method “Fixed quantity”. According to this allocation method the invoice amount will be divided into no of equal installments.

Create new payment schedule as per below image.

The screenshot displays the 'Payment schedules' form in Microsoft Dynamics 365 F&O. The form is titled 'Payment schedules' and shows the 'General' tab. The 'Payment schedule' field is set to '6_MONTHS' and the 'Description' is 'Pay equally in 6 months'. Under the 'PAYMENT SCHEDULE' section, 'Allocation' is set to 'Fixed quantity', 'Payment per' is 'Months', and 'Change' is '1'. The 'Number of payments' is '6', 'Amount in transaction currency' is '0.00', 'Minimum' is '0.00', and 'Sales tax allocation' is 'Proportionally'. Under the 'INSTALLMENTS' section, 'Charge allocation' is 'Proportionally', 'Maximum amount' is '0.00', and 'Minimum amount' is '0.00'. On the right, the 'Flexible plan' is set to 'No', 'Minimum number of installment...' is '0', and 'Maximum number of installment...' is '0'.

- Allocation – Method for allocation
- Payment per – Timeline for the payment/ Installment due
- Change – Installment frequency
- No of payment – No of installments
- Sales tax allocation & Charge allocation – Method for allocation of tax and Charges (Proportionally, First installment & Last Installment)

2. Apply payment schedule on the Invoice:

The payment schedule can be applied on Free Text Invoice, Invoice journal & Purchase/Sales order. It can be applied automatically and manually.

Automatic = Adding the payment schedule on the payment terms and link payment terms on the customer and vendor master.

Manual = There is an option to select payment schedule on PO/SO, Invoice journal and FTI before creating an invoice.

Sales order/Purchase order:

The screenshot shows the 'Sales order view' for 'SO-000000041 : Customer'. The 'Payment schedule' dropdown menu is open, displaying a table with the following data:

Payment sche...	Description
6_MONTHS	Pay equally in 6 months

Invoice Journal:

The screenshot shows the 'Vendor invoice journal' for 'JB-000000019 : VIN'. The 'Payment schedule' dropdown menu is open, displaying a table with the following data:

Payment sche...	Description
6_MONTHS	Pay equally in 6 months

Free Text Invoice

The screenshot shows the 'Free text invoice' interface. The 'Payment schedule' dropdown menu is open, displaying a table with the following data:

Payment sche...	Description
6_MONTHS	Pay equally in 6 months

Let's check how manual payment schedule works

Before posting an Invoice:

- Create and post a free text invoice by selecting the payment schedule (6_MONTHS).
- After posting free text invoice, the invoice will be divided into 6 lines in the customer settle transaction form automatically.

Free text invoice | Standard view

Flora Siddall

Lines Header

Free text invoice header

CUSTOMER	One-time customer	INVOICE	Currency	Payment specification
Customer account	☐ No	Date	AED	
Name	Address	1/27/2025	Accounting status	Bank account
Flora Siddall	Villa 2, Street 1, Alvorada 2 ARE	Due	Completed	
Invoice account		2/26/2025	PAYMENT	Payment schedule
		Invoice	Terms of payment	6_MONTHS
Name		FTI-000000001	PT01	Cash discount
Flora Siddall			Method of payment	Direct debit mandate ID

Invoice lines

+ Add line Remove Distribute amounts Notes and attachments (0) Copy selected lines

Description	Main account	Sales tax group	Item sales tax group	Quantity	Unit price	Amount
Rental Income	411000103	CLC_DXB	VAT5	1.00	60,000.00	60,000.00

Standard view

Settle transactions for Flora Siddall

SETTLEMENT POSTING DATE: Latest date DATE USED FOR CALCULATING DISCOUNTS: Transaction date

Overview General Payment Settlement Cash discount Financial dimensions

Mark selected Unmark all Show marked Apply payment schedule Inquiry Mark as primary payment Settle invoice lines Functions Deductions

	Primary...	Mark	Invoice	Due date	Cash di...	Amount in...	Consolidat...	Currency	Amount to settle	Cross rate
☐		☐	FTI-000000001	2/26/2025		10,500.00		AED	10,500.00	
☐		☐	FTI-000000001	3/26/2025		10,500.00		AED	10,500.00	
☐		☐	FTI-000000001	4/26/2025		10,500.00		AED	10,500.00	
☐		☐	FTI-000000001	5/26/2025		10,500.00		AED	10,500.00	
☐		☐	FTI-000000001	6/26/2025		10,500.00		AED	10,500.00	
☐		☐	FTI-000000001	7/26/2025		10,500.00		AED	10,500.00	

After Posting an invoice:

- Navigate to customer settle transaction form.
- Mark the Invoice and click on apply payment schedule
- click on payment schedule and select required payment schedule option
- Then the amount will be divided into 6 months based on the due date

Standard view

Settle transactions for MAPYR Employees

SETTLEMENT POSTING DATE

Latest date

DATE USED FOR CALCULATING DISCOUNTS

Transaction date

Overview General Payment Settlement Cash discount Financial dimensions

Mark selected Unmark all Show marked Apply payment schedule Inquiry Mark as primary payment Settle

	Primary...	Mark	Invoice	Due date	Cash di...	Amount in...	Consolidat...	Curr
		☐		7/9/2024		232.05		AED
		☐		7/9/2024		497.25		AED
		☐		7/26/2024		-1,503.25		AED
		☒	CIN-000000001	7/31/2024		1,537.14		AED
		☐	CIN-000000002	7/31/2024		250.01		AED
		☐	CIN-000000003	7/31/2024		202.28		AED

LINE DETAILS

CASH DISCOUNT

	AMOUNT	TAKEN	TO TAKE	FULL SETTLEMENT	INVOICE DATE
TRANSACTION CURRENCY: AED	0.00	0.00	0.00	0.00	7/31/2024
USE CASH DISCOUNT	Normal				

TOTALS

	SETTLEMENT BALANCE	ESTIMATED CASH DISCOUNT	CUSTOMER BALANCE
ACCOUNTING CURRENCY: AED	1,537.14	0.00	15,106.61
CUSTOMER CURRENCY: AED	1,537.14	0.00	

Standard view

Apply payment schedule

Percentage/Amount Amount in transaction currency Remainder
Amount 1,537.14 0.00

+ New Delete Payment schedule

	Due date	Amount in...
	7/27/2025	256.19
	6/27/2025	256.19
	5/27/2025	256.19
	4/27/2025	256.19
	3/27/2025	256.19
	2/27/2025	256.19

OK Cancel